Carnegie Mellon University

National Cyber Policy and Strategy

Professor Matthew Butkovic

Amplified Power, Accountable Institutions: AI in the National Cyber Context

Xocas Alvarez Jorge

Carnegie Mellon University — CMIST

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1 Introduction

An advanced future where AI plays a critical role is an inevitability, yet governance remains debated and misunderstood. Current approaches treat AI as a monolithic system, rather than a layered technological system requiring differentiated governance. Current discourse focuses on how we should adjust policies to fit AI. This paper argues the exact opposite: that the task at hand is to bend AI to conform to our existing constitutional principles and policy interests. Technology (and by extension AI) is an amplifier, from productivity to state power; in this view the main challenge regarding AI would be to ensure that this newfound power is channeled in a way that benefits democratic norms and the open exchange of ideas to best maximize innovation, human rights, and national defense.

Constitutional governance produces tangible strategic returns: regulatory predictability attracts investment, open institutions attract global talent, and democratic accountability sustains the alliance networks that underpin American security and market access. The nations that govern AI through democratic principles will not only build more legitimate systems but also more competitive ones.

2 Policy recommendations for AI and innovation

The current AI policy is not calibrated in a layered manner, focusing on models, capabilities, and licensing where real leverage can be exerted elsewhere. AI is not a monolithic system, but, as with other software and information technology, a stratified stack, where not all layers are equally regulable or equally consequential.

At the top of this stack is the base code for any AI system, such as model weights, architectures, or licensing requirements. The model weights are digital information, which means that they are copyable, distributable, and increasingly distillable for a fraction of the original training cost. DeepSeek demonstrated this in early 2025, approximating frontier capabilities through distillation without reproducing the underlying investment in R&D (DeepSeek-AI, 2025).

A step down the stack would be serving platforms such as Weights and Biases or Hugging Face

which host and distribute models, weights and other information. Below this is the infrastructure underlying AI:, GPU clusters, data centers, power grids, and semiconductor fabrication. Although open weight models could be weaponized, this would be limited by their high computational cost. This final layer is the most concentrated among very few actors and requires tremendous upfront capital investment. One cannot torrent or distill the underlying infrastructure behind it.

Regulation should be proportional to information flow and capital concentration. At the top, there should be complete openness to encourage innovation, research, and safety. Although not always reviewed, open source code does allow for more thorough and independent vetting, while others can improve upon freely open model architectures. Closed models are more difficult to audit and cannot even be fully controlled. The encryption wars of the 1990s demonstrated this conclusively; ITAR export controls on cryptographic software collapsed because digital information crosses borders frictionless or even the Claude Code leak in March 2026(Mehrotra, 2026) (Levy, 2001).

At the bottom, in the infrastructure layer, the state must both regulate and support it. The infrastructure layer is where enforcement is actually possible and effective. Larger AI systems that can pose a threat would require soaring amounts of computational power. Know-your-customer requirements for large compute purchases, monitoring of training runs above significant thresholds, and export controls on advanced semiconductors are all enforceable precisely because they target physical bottlenecks. The nuclear nonproliferation regime offers a clarifying analogy: the physics of nuclear weapons is openly published, but enrichment infrastructure — centrifuges, reactors, processing facilities — is the regulable bottleneck that the IAEA inspection regime targets.

However, this regulation must be combined with support for both industry and the general public. On the one hand, if infrastructure serves as the governance choke point, it must also remain accessible. Otherwise, governance collapses into monopolistic capture by the handful of firms that control compute. The government should treat the AI infrastructure as a regulated utility: ensuring access through subsidized compute for academic researchers, tax incentives for domestic data centers, and investment in grid capacity.

Additionally, by regulating at an infrastructure level, we must have assurances for companies

providing underlying infrastructure.The Internet offers a proof of concept. Section 230 placed governance at the intermediary layer ("Communications Decency Act, 47 U.S.C. § 230", 1996). Model developers are the content creators of the AI ecosystem; cloud providers are the intermediaries. This is not a novel regulatory architecture, but rather an extension of established legal precedent to a new technological stack. This is analogous to Singapore's cyber policy for innovation (Cyber Security Agency of Singapore, 2021).

3 Policy recommendations for AI and national defense

The current discussion of AI and national defense revolves mainly around a zero-sum race where countries must be quick to deploy in bellicose contexts or lose. Leaving aside autonomous weapons, this approach overlooks the institutional and logistical integration of AI and the larger question of legal and constitutional integration. AI should be understood first and foremost as a capacity multiplier, as such, a policy should prioritize the applications where that multiplication yields the greatest tangible returns with the least constitutional friction.

Short of a guaranteed near-term conflict, autonomous weapons do not yield the same immediate strategic returns as less dramatic applications. AI-optimized procurement, logistics and auditing such as predictive maintenance, supply chain optimization, force projection planning have tremendous promise.

AI-enhanced war games and strategic simulation would allow decision-makers to stress-test operational plans quickly across thousands of scenarios. This would help improve the defense posture of the military in general rather than any individual weapons system. Finally, AI-augmented intelligence collection and analysis would produce actionable insights from the vast volume of signals, imagery, and open-source data to generate insights that are immediately actionable and ethically compliant.

However, AI in national defense must first and foremost be subordinated to the democratic character of our state. Not only is this the ethical position, but the operationally superior one as well. Ukraine's cyber resilience stems not from technological superiority but co-operation with allies built on shared democratic norms (Bateman, 2023). America's deepest strategic advantage

is the alliance network, and that network depends on institutional legitimacy. AI enabled defense must be predicated on this fact.

The realist objection, where adversaries may deploy faster than the US, conflates speed with strength. Autonomous weapons pursued outside constitutional frameworks carry significant moral and legal risk for comparatively marginal near-term strategic gain, while high-return applications in logistics, procurement, intelligence, and war gaming remain chronically underfunded and under emphasized.

4 Policy recommendations for AI and human rights/privacy

This paper proposes a capability equivalence test for the implementation of AI in relation to human rights: how many people would it take to replicate this AI's capabilities, and would we ever authorize that workforce?

A single AI system that monitors all social media posts in the United States would have a functional equivalence of several hundreds of thousands of government employees. A surveillance apparatus of this scope would never be approved and the thought of several thousands of government agents monitoring one's social media presence would not be comforting. However, when a single software system performs the identical function, it becomes a routine policy discussion. The costs of a program: economic, political, and social, are drastically reduced, but the outcome is the same: mass surveillance and a breach of human rights. The technological abstraction disguises the constitutional violation while the capability equivalence test recalibrates the question in a human oriented manner.

This paper further argues that AI policy must conform to constitutional and democratic standards. The United States remains one of the few major democracies without comprehensive federal privacy legislation. In this vacuum, constitutional principles must do the work that statute does not. The main issue facing AI governance is the lagging tradition of enforcing procedural rights in the fields of emerging technology.

Katz Vs United States outlined that the fourth amendment applies to wiretaps. Our new

AI systems must also be interpreted within the framework of our current assumptions and the democratic framework("Katz v. United States, 389 U.S. 347" , 1967). However, 20 years of post-Patriot Act government and corporate surveillance demonstrate non compliance which is emerging in AI. In Loomis v. Wisconsin, the court upheld the use of a proprietary risk assessment algorithm in criminal sentencing despite the defendant's inability to inspect or challenge the tool("State v. Loomis, 881 N.W.2d 749" , 2016). ProPublica's analysis found significant racial disparities, something opposed to the principles of due process (Angwin et al., 2016).

- Codify the capability equivalence test as a legal standard: any AI system performing government functions inherits all constitutional obligations that would apply to the equivalent human workforce.
- Mandatory algorithmic due process for all AI-assisted government decisions affecting individual rights: public disclosure of system parameters, human review upon request, plain-language explanation of decisions, and disparate impact testing prior to deployment.
- Pass comprehensive federal AI and privacy legislation for the private sector, regulating the use of AI in corporate settings analogous to the European Union's GDPR and AI Act(European Parliament and Council of the European Union, 2024).

5 Conclusion

The governance of AI is a test of democratic and institutional governance of how we channel and manage transformative power. Similar precedents have appeared, from the development of information technology to nuclear power. This paper argues that an AI strategy must first and foremost comply with institutional and democratic governance. From this perspective, this paper has argued for three interlocking frameworks that span defense, innovation, and human rights. From the stratified approach to AI regulation to the capability equivalence test for human rights, these frameworks share a common logic: existing democratic institutions are sufficient to govern AI if we have the will to apply them.

A single principle unites these recommendations: accountable, institutionally grounded power is effective and durable. The nations that govern AI through democratic institutions will build not

only more legitimate systems but also more innovative, more allied-compatible, and more resilient ones. These values are a competitive advantage that the U.S. must seek to leverage.

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